Netflix Stock Analysis

Palmer Leonard, Lili Walker, Isaac Smith

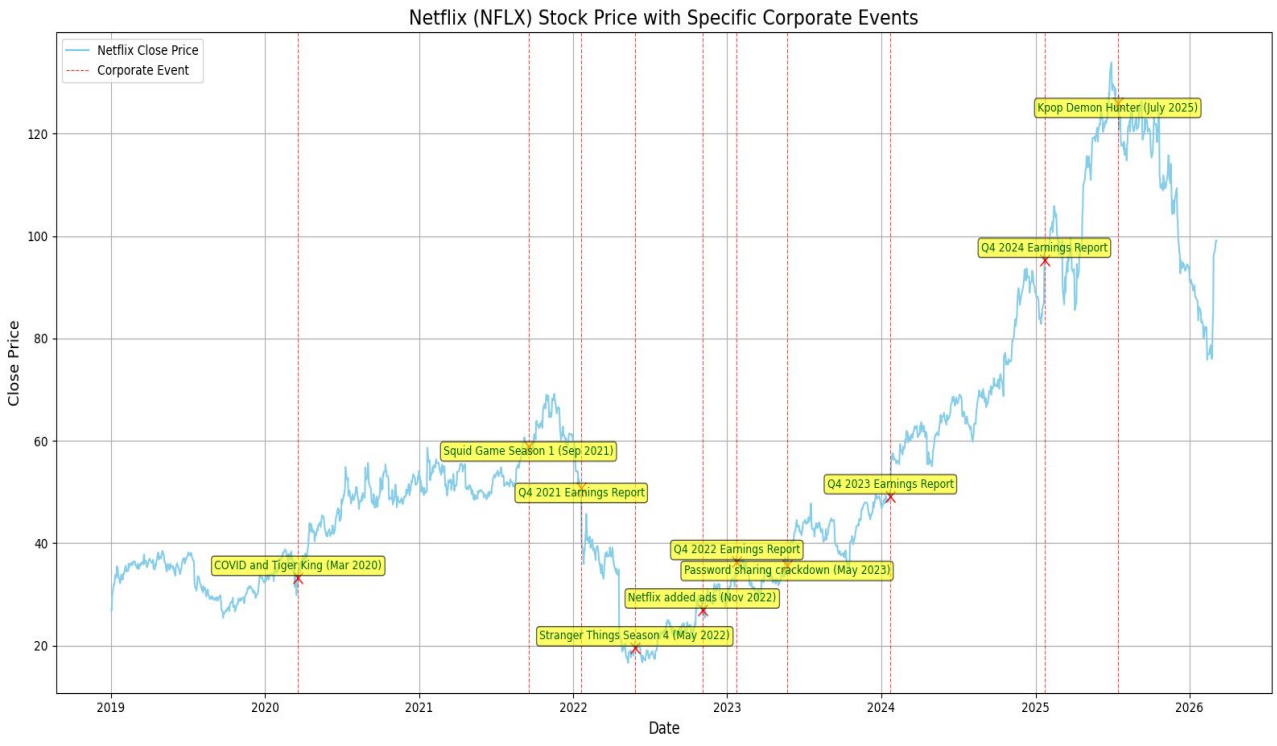
Who We Are

- A financial analytics firm specializing in market research, time series forecasting, and statistical modeling of market behavior. In this case, we will analyze the Netflix stock price
- Data Partner: Yahoo Finance provides historical stock data and financial databases used in our analysis, while Google Trends helps us identify events associated with high earnings reports
- Expertise: Advanced financial modeling including ARIMA and SARIMA forecasting, candlestick chart analysis, and event driven stock price research.

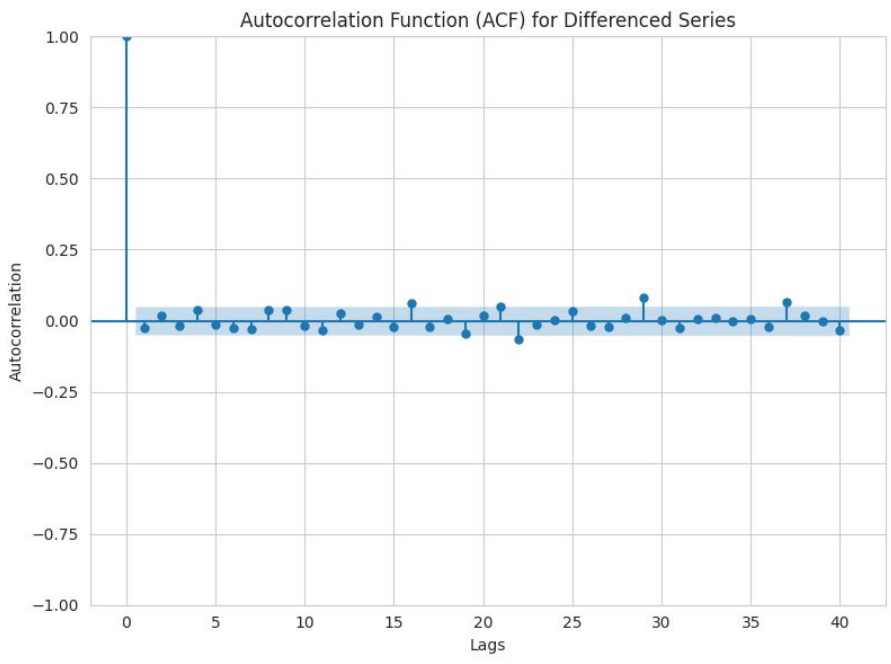
Corporate Events

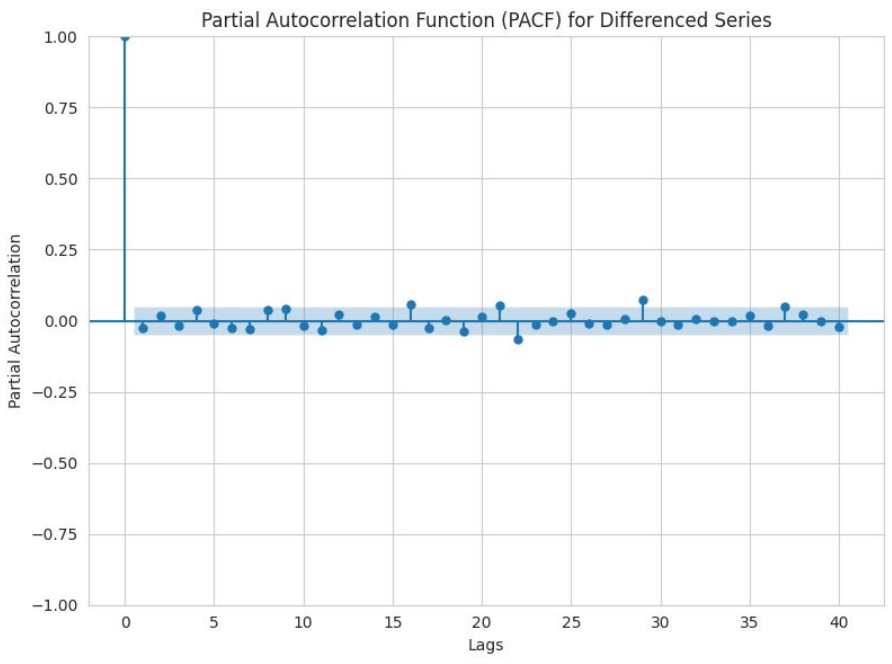
Big Events

- Tiger King COVID and Tiger King Release March, 2020
- Squid GameSquid Games Season 1 release September 17, 2021
- 2022 Added AdsPassword
- Sharing Crack-down May 23, 2023
- Jake Paul and Mike Tyson Live Fight November 15, 2024
- Kpop Demon Hunters release June 20, 2025



ACF and PACF Tests





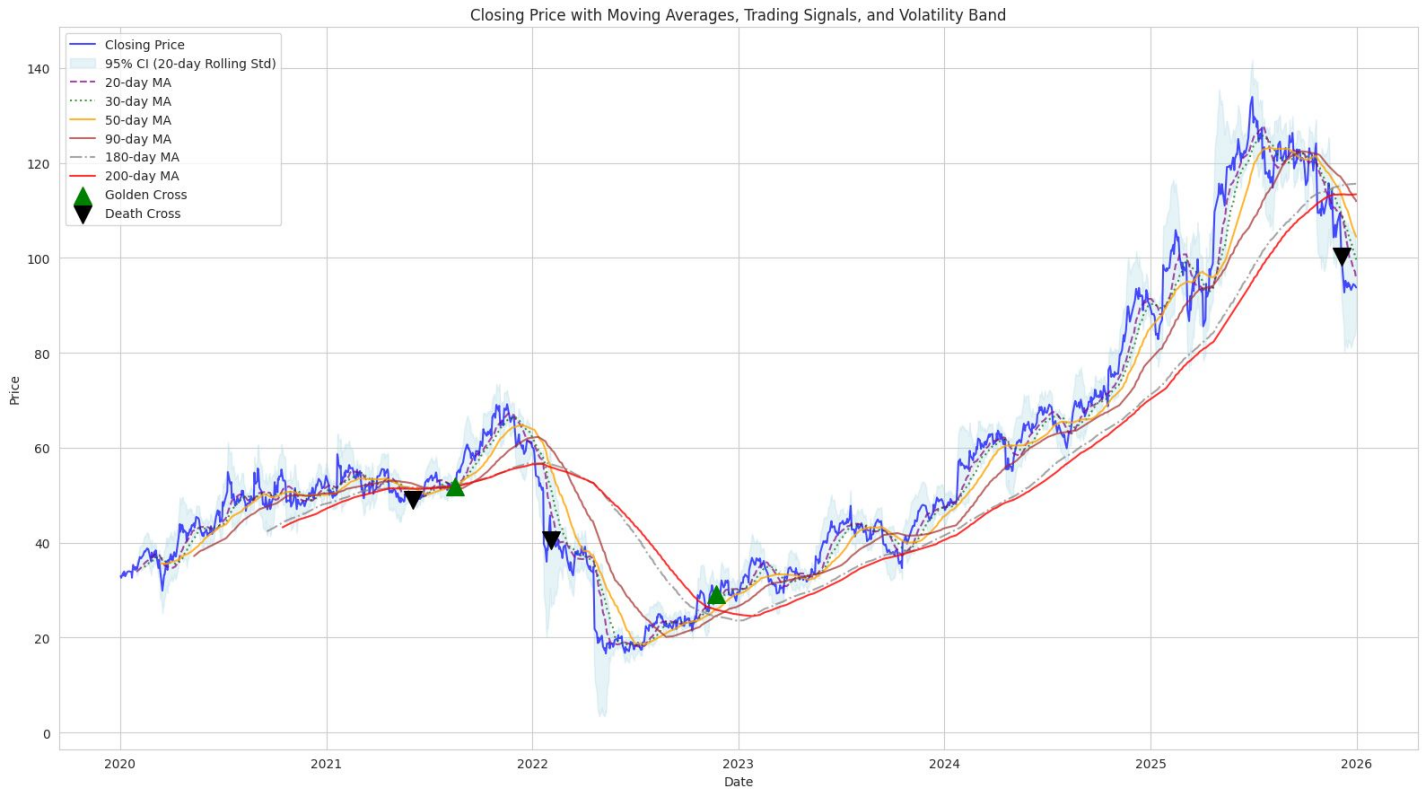
ARIMA and SARIMA Forecasts

Model Results

- All of the models were then tested for AIC and BIC values
- The lower the AIC and BIC values, the better
- It was found that the best model is the SARIMA model, showcasing a better fit, and the clear basis for weekly seasonality

Model	AIC	BIC
AR(1)	6979.00	6996.08
ARIMA(1,1,1)	6969.30	6986.38
SARIMA(1,1,1)(0,0,0,5)	**6964.83**	**6981.91**
New_ARIMA(16,1,16)	6966.18	7154.01
New_SARIMA(1,1,1)(0,0,0,16)	6964.83	6981.91

Moving Averages



Candlestick Chart with Support And Resistance

- First S&R line: January to mid March.

- Second S&R line: Mid August to late October.

When to Invest

- Netflix (NFLX) is among the top 30 publicly traded companies by market capitalization and is generally classified as a volatile tech stock
- During viewership highs, NFLX corresponds with stock price highs, but these highs are not long lived if the price does not meet the resistance
- Investing prior to big releases and avoiding long-term investing with this stock is the most optimal choice given our forecasting
- If you're looking to predict future prices, SARIMA models yielded better projections for future prices

Thank You